GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

RISK MANAGEMENT POLICY

Document Information	
Policy Name	Risk Management Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Internal Financial Controls Policy, Anti-Money Laundering Policy, Safeguarding Policy, Data Protection Policy, Financial Reserves Policy

1. Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community. The Charity collects and distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) to eligible beneficiaries.

Risk is an inherent part of all charitable activities. The opportunity to fulfil the Charity's mission brings with it exposure to risks that could affect the Charity's ability to achieve its objectives, protect its assets, maintain its reputation, and comply with legal and regulatory requirements.

This policy sets out the Charity's approach to identifying, assessing, and managing risks. It forms part of the Charity's governance framework and supports compliance with Charity Commission requirements.

2. Purpose

The purpose of this policy is to:

- Establish a framework for identifying, assessing, and managing risks
- Define the roles and responsibilities of trustees and volunteers in risk management
- Ensure compliance with the requirement in the Charities SORP for trustees to confirm that major risks have been identified and systems established to manage them
- Support the achievement of the Charity's objectives by managing threats and opportunities
- Protect the Charity's assets, reputation, and beneficiaries
- Provide a proportionate approach to risk management appropriate for a volunteer-run charity

3. Scope

This policy applies to all trustees and volunteers of the Charity. It covers all activities undertaken by the Charity in pursuit of its charitable objectives within the United Kingdom.

4. Definition of Risk

For the purposes of this policy, "risk" means any uncertainty surrounding events, activities, or outcomes that may have a significant effect on:

- The achievement of the Charity's aims and objectives
- Operational performance
- Compliance with legal and regulatory requirements
- The Charity's reputation and public trust
- The safety and wellbeing of beneficiaries, trustees, and volunteers
- Meeting the expectations of donors and other stakeholders

Risk can have both negative effects (threats) and positive effects (opportunities). Effective risk management helps the Charity minimise threats while taking advantage of opportunities.

5. Risk Management Goals

The Charity's risk management goals are:

- To embed the identification and management of risk in the Charity's work
- To ensure trustees and volunteers can identify risks in all aspects of the Charity's activities
- To evaluate risks and take proportionate action to mitigate those that exceed the Charity's risk appetite
- To communicate risk information so it informs decision-making
- To demonstrate that risks have been considered and appropriate action taken
- To use risk management as an enabler, allowing the Charity to pursue opportunities with confidence

6. Approach to Risk Management

The following principles guide the Charity's approach to risk management:

- The Board of Trustees has ultimate responsibility for overseeing risk management
- Risk management is proportionate to the size and complexity of the Charity
- An open approach is adopted where risks can be identified and discussed without blame
- All trustees and volunteers are responsible for identifying and reporting risks
- Key risks are identified, documented, and monitored regularly
- Conservative and prudent recognition is given to the financial and non-financial implications of risks
- Risk management is integrated with the Charity's planning, budgeting, and decision-making

7. Risk Management Process

The Charity's risk management process consists of three stages: identify and document; assess and monitor; and report.

7.1 Identify and Document

All trustees and volunteers are involved in the active identification of risks. When a risk or potential risk is identified, it should be reported to the Chair or another trustee promptly. The risk register will be updated with the potential risk for assessment at the next Board meeting. Emergency or serious risks will be dealt with urgently by the Board.

7.2 Assess and Monitor

At each Board meeting, existing risks will be reviewed to ensure their status remains appropriate. New risks will be assessed for their category, likelihood, impact, and required action. The Board will decide on the appropriate response to each risk. The Board may seek independent expert advice on identifying and managing risks where appropriate.

7.3 Report

A risk register will be maintained and updated with all identified risks. The risk register will be reviewed at each Board meeting. A summary of major risks and the systems established to manage them will be included in the Trustees' Annual Report as required by the Charities SORP.

8. Risk Categories

Risks are categorised to help ensure all areas are considered. The categories used are:

- **Governance (G):** Risks relating to the Charity's governance structure, trustee recruitment and skills, conflicts of interest, decision-making, and compliance with the governing document
- **Operational (O):** Risks relating to the Charity's day-to-day activities, including service delivery, volunteer management, partner relationships, safeguarding, data protection, and health and safety
- **Financial (F):** Risks relating to the Charity's finances, including income volatility, cash handling, fraud, banking, reserves, and financial controls
- **External (E):** Risks arising from external factors, including public perception, reputation, regulatory changes, economic conditions, and demographic changes
- **Compliance (C):** Risks relating to compliance with charity law, data protection, employment law, fundraising regulations, and other legal requirements

9. Risk Register

A risk register will be maintained to document all identified risks. The register will include the following information for each risk:

9.1 Risk Identification

- **Risk ID:** A unique identifier using the category prefix (G, O, F, E, C) followed by a sequential number
- **Risk Title:** A brief description of the risk
- **Risk Description:** A fuller explanation of the risk and its potential consequences
- **Date Identified:** When the risk was first recorded

9.2 Risk Assessment

Each risk is assessed for likelihood (how likely it is to occur) and impact (how serious the consequences would be). These are scored as Low, Medium, or High, giving an overall risk grade:

Likelihood / Impact	Low Impact	Medium Impact	High Impact
Low Likelihood	Low (Green)	Low (Green)	Medium (Amber)
Medium Likelihood	Low (Green)	Medium (Amber)	High (Red)
High Likelihood	Medium (Amber)	High (Red)	High (Red)

The higher the grade, the more attention the risk requires.

9.3 Risk Response

For each risk, one of the following response methods should be assigned:

- **Transfer:** The risk is transferred or shared with a third party (e.g., through insurance)
- **Avoid:** The activity giving rise to the risk is avoided entirely
- **Mitigate:** Controls or actions are put in place to reduce the likelihood or impact
- **Accept:** The risk is accepted as inherent to the activity and cannot be further reduced

9.4 Risk Owner

Each risk should be assigned to a trustee who is responsible for monitoring the risk and reporting developments to the Board.

10. Key Risks for the Charity

The following are examples of key risks that are particularly relevant to the Charity. This is not an exhaustive list, and the risk register should include all significant risks identified by the trustees.

10.1 Governance Risks

- Insufficient number of trustees or lack of relevant skills
- Conflicts of interest not properly managed
- Inadequate policies or failure to follow policies
- Poor record-keeping or decision-making

10.2 Operational Risks

- Failure to properly assess beneficiary eligibility for Zakat
- Inadequate due diligence on partner organisations
- Safeguarding incidents involving vulnerable beneficiaries
- Data protection breaches
- Volunteer capacity and succession planning
- Loss of key relationships with partner organisations

10.3 Financial Risks

- Income volatility and reliance on donations during Ramadan
- Fraud or theft, particularly relating to cash handling
- Inadequate financial controls
- Banking restrictions or account closure
- Reserves falling below target level
- Failure to distribute Zakat funds within appropriate timescales

10.4 External Risks

- Damage to reputation through adverse publicity
- Changes in the economic environment affecting donor capacity
- Negative perceptions of Muslim charities
- Cyber security threats

10.5 Compliance Risks

- Failure to comply with Charity Commission requirements
- Anti-money laundering obligations not met
- Data protection non-compliance
- Fundraising regulation breaches
- Failure to file annual returns or accounts on time

11. Role of the Board of Trustees

The Board of Trustees has overall responsibility for risk management. This includes:

- Setting the Charity's approach to risk and communicating this to volunteers
- Determining what types and levels of risk are acceptable
- Identifying and documenting major risks
- Reviewing the risk register at each Board meeting
- Approving responses to significant risks
- Monitoring the management of risks and effectiveness of controls
- Including the required statement on risk in the Trustees' Annual Report
- Reviewing the risk management approach annually

12. Role of Volunteers

All volunteers have a role in risk management. This includes:

- Being alert to potential risks in their area of activity
- Reporting any identified risks or concerns to a trustee promptly
- Following the Charity's policies and procedures
- Supporting the implementation of risk controls

13. Risk Management and Internal Controls

Risk management is integrated with the Charity's system of internal controls. Key elements include:

13.1 Policies and Procedures

The Charity maintains a suite of policies that underpin the internal control process. These policies are approved by the Board and communicated to all trustees and volunteers.

13.2 Financial Reporting

Regular financial reports are provided to the Board, enabling monitoring of income, expenditure, and reserves against budget and identifying emerging financial risks.

13.3 Planning and Budgeting

The annual planning and budgeting process is used to set objectives, allocate resources, and identify risks associated with planned activities.

13.4 Independent Examination

The annual independent examination provides external assurance on the Charity's accounts and may identify control weaknesses. The independent examiner's findings and recommendations are considered by the Board.

14. Annual Review of Risk Management

The Board will conduct an annual review of the Charity's risk management arrangements. This review will:

- Examine the Charity's track record on risk management over the previous year
- Consider whether all significant risks have been identified
- Assess whether risk responses and controls are effective
- Consider the risk profile for the coming year
- Identify any improvements needed to risk management processes
- Inform the risk statement in the Trustees' Annual Report

15. Reporting in the Trustees' Annual Report

The Charities SORP requires the Trustees' Annual Report to include a statement confirming that the major risks to which the Charity is exposed have been identified, and that systems have been established to manage those risks. The Board will ensure this statement accurately reflects the Charity's risk management arrangements.

16. Review of this Policy

This policy will be reviewed by the Board of Trustees every two years, or sooner if there are significant changes to the Charity's activities, a major risk materialises, or changes to regulatory requirements.

17. Related Policies and Guidance

Related Charity Policies:

- Internal Financial Controls Policy
- Anti-Money Laundering Policy
- Safeguarding Policy
- Data Protection Policy
- Financial Reserves Policy
- Conflict of Interest Policy
- Partner Selection Due Diligence Policy

External Guidance:

- Charity Commission – Charities and Risk Management (CC26)
- Charity Commission – The Essential Trustee (CC3)
- Charities SORP (FRS 102) – Risk Statement Requirements
- Charity Governance Code

18. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

19. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Risk Management Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

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